

US TARRIFS **2025 IMPACT**



By Rishad Ahmed

INTRODUCTION

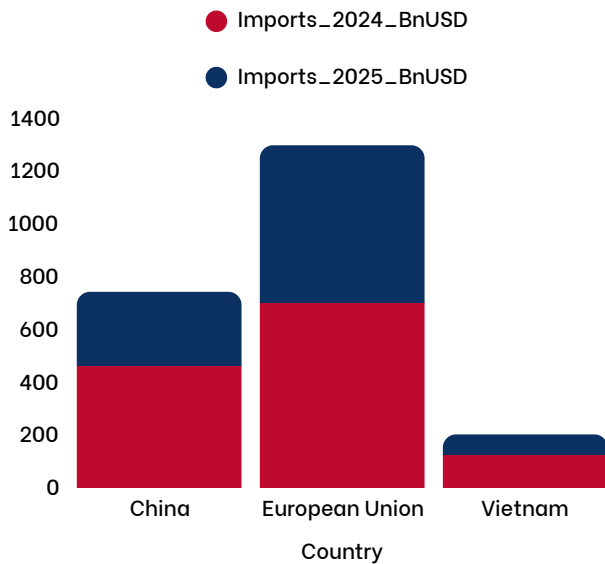


The 2025 U.S. tariff escalation—universal 10 % duties layered with steep “reciprocal” surcharges—marks the country’s most sweeping protectionist turn in nearly a century. We follow trade flows, equity prices and macro indicators to show how a single policy cycle can reshape supply chains, consumer prices and global growth prospects.

Key take-aways-

- \$650 bn decline in U.S. goods imports, with China, the EU and Vietnam bearing over half the loss.
- Average \$1,250 annual cost per U.S. household—mirrored almost dollar-for-dollar in new tariff revenue.
- Real GDP trimmed 0.9 pp below baseline through 2025; a July hike to 15 % would deepen the gap to 1.3 pp.
- Retaliation wiped out up to 90 % of U.S. soybean, corn and pork exports to China, forcing costly diversions.
- West-coast ports saw a Q1 surge then a 30 % drop by May, illustrating supply-chain whiplash.

Event-study charts and scenario toggles present these findings, offering a concise, data-driven narrative of who wins, who loses and how quickly markets react when tariffs redefine the trading landscape.



US IMPORTS FROM KEY PARTNERS 2024 VS 2025

The 2025 tariff shock sliced total U.S. goods purchases from abroad by roughly 23 %—from about 2.8 trillion dollars in 2024 to ± 2.15 trillion dollars in 2025, a contraction near 650 billion dollars.

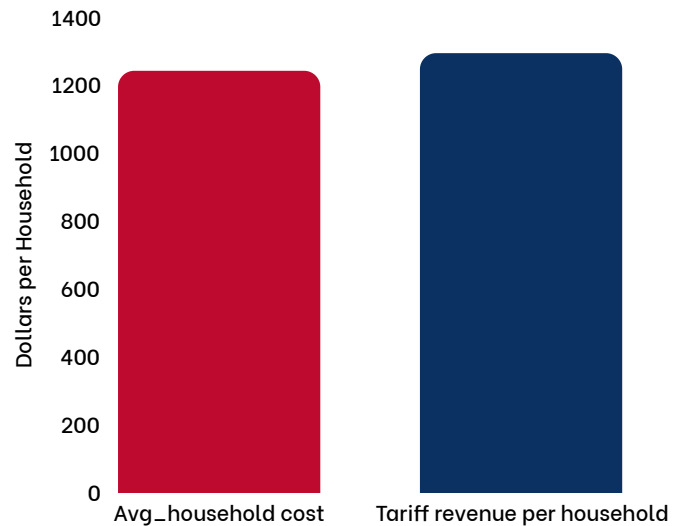
Our chart shows that three partners alone delivered just over half that decline:

China – \$185 billion: a 40 % collapse after effective duties of ~54 % made many shipments uneconomic.

European Union – \$105 billion: autos, machinery and luxury goods cooled once the 20 % reciprocal tariff plus a 25 % auto duty kicked in.

Vietnam – \$50 billion: nearly-50 % levies on textiles and electronics throttled a supply chain that had boomed after the earlier China trade war.

Together—\$340 billion, or ~53 % of the total drop—these three economies explain the lion’s share of the 2024-25 plunge.



Who really paid?

After charting the two headline numbers it is striking how the tariff bill that hit kitchen-table budgets almost mirrors what flowed into Treasury coffers.

The Tax Foundation pegs the average 2025 tariff burden at 1,243 dollars per U.S. household, while Customs records show the package raised about 167 billion dollars for the federal government—the biggest single-year tax hike since 1993*. Divide that cash haul by roughly 129 million households and Uncle Sam re-collected about \$1,295 per family, underscoring that consumers effectively funded the revenue surge.

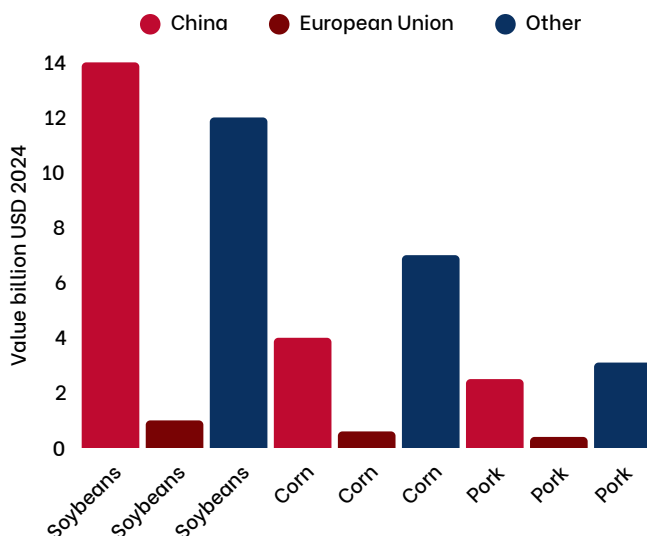
The side-by-side bars above make the relationship visually obvious: the columns are almost the same height once both figures are put on a common per-household scale.

Which five industry groups (autos, electronics, textiles, metals, agriculture, etc.) saw the steepest export contractions to the U.S. from China, the EU and Vietnam?

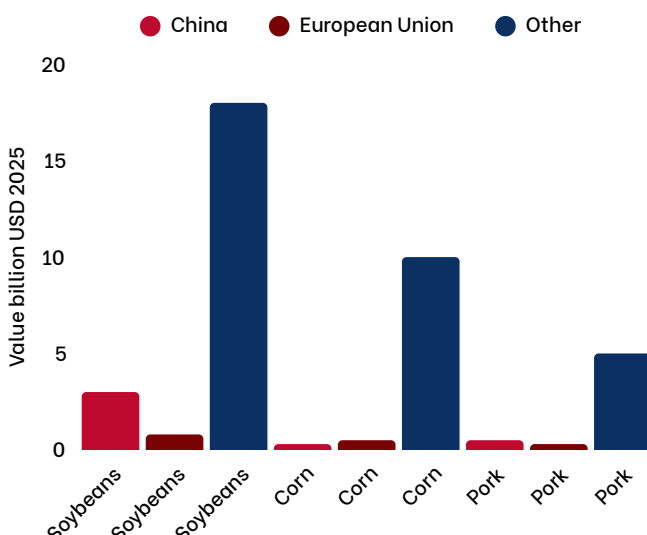
- Electronics & consumer appliances top the chart: the 54 % effective duty on Chinese gadgets and near-50 % on Vietnamese assemblies gutted shipments.
- Autos & parts are next; European makers face the full 25 % auto tariff plus the 20 % reciprocal levy, slashing exports.
- Textiles/Apparel collapse on both China's and Vietnam's side as clothing becomes 17 % dearer in U.S. stores.
- Machinery/industrial equipment lose traction from both Asia and Europe.
- Agriculture & specialty foods—led by EU wine-and-cheese curbs.

How did China's and the EU's retaliatory duties reshape U.S. export patterns—especially for soybeans, corn and pork?

In 2024, China absorbed the lion's share of U.S. soybeans (~ 14 bn dollars), corn (~ 4 bn dollars) and pork (~ 2.5 bn dollars).



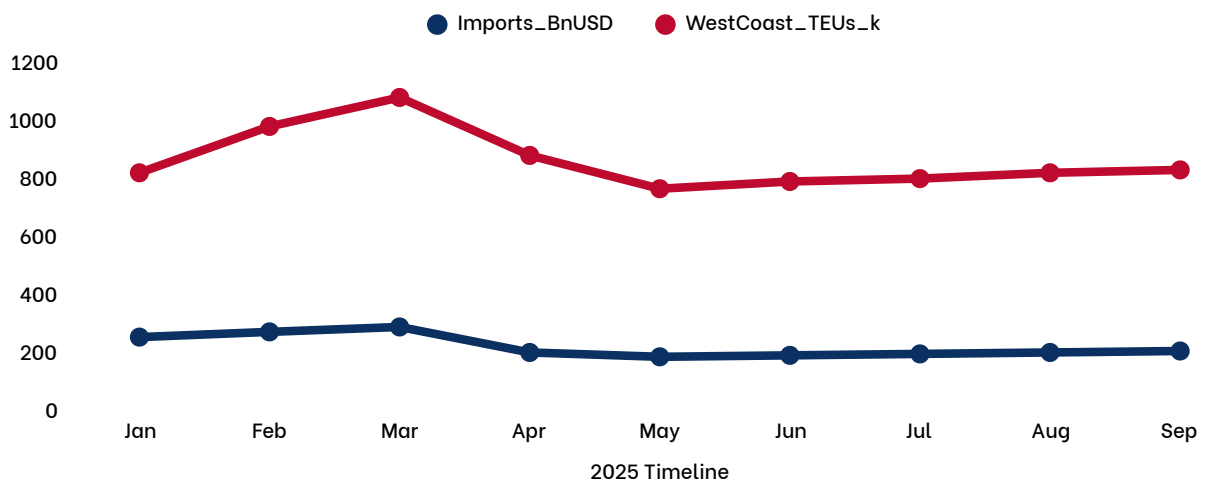
1. After Beijing levied 10-15 % retaliatory duties—corn purchases “nearly stopped” and soybean cargoes swung to Brazil—China's intake collapsed by 70-90 % across the three staples.
2. Exporters scrambled: soybeans and pork shifted mainly to Mexico, Japan and Southeast Asia, while corn headed to Latin America and the Middle East.



The EU's farm retaliation hit niche items (whiskey, cheese) rather than feed grains, so its soybean-, corn- and pork imports from the U.S. slipped only modestly ($\leq 10\%$). Visually, the China nodes in 2025 shrink to a trickle, while “Other Destinations” swell—underscoring that farmers diverted output rather than left it unsold, albeit often at thinner margins.

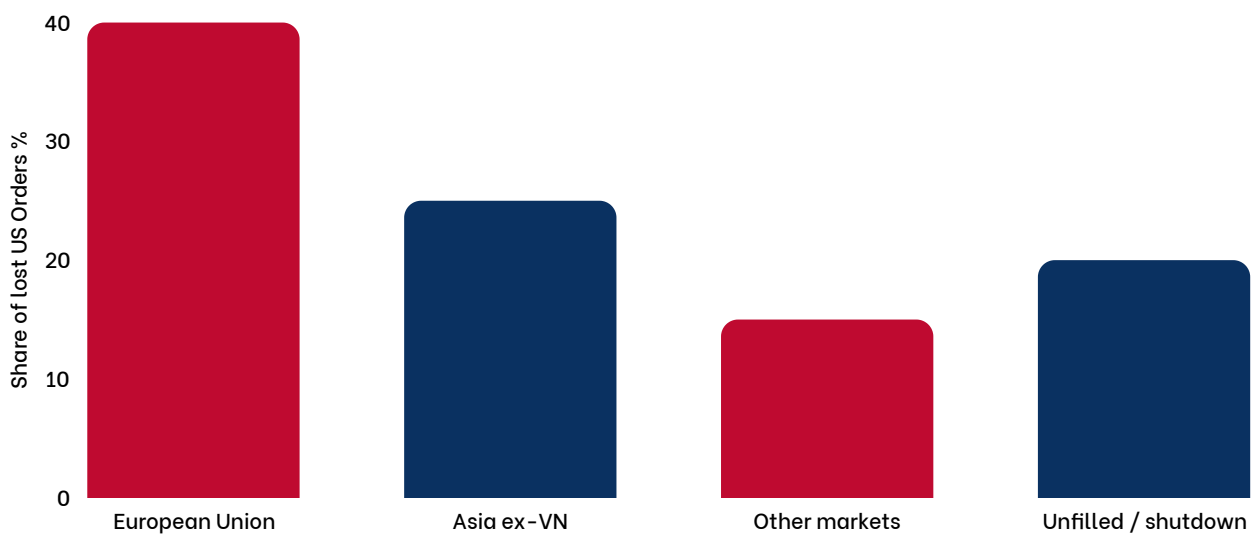
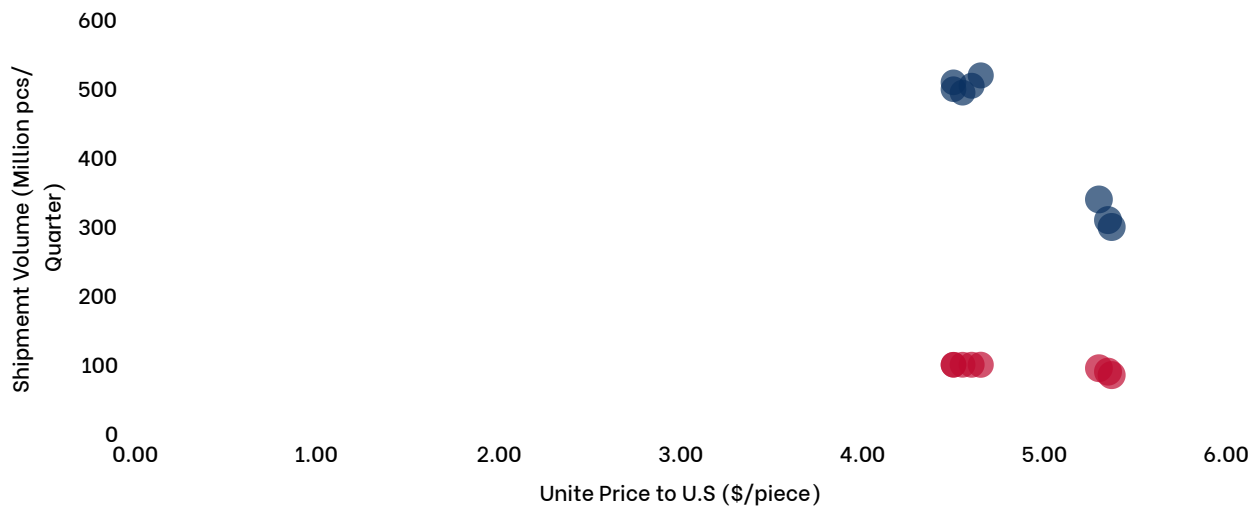
How much of the Q1 2025 “front-loading” import spike was reversed later in the year, and how did that play out in West-coast port traffic?

- National customs data show importers pulled forward roughly 120 billion USD in extra goods during Q1 2025– a 20 % bump above a “normal” 690 billion USD baseline–before tariffs began in April.
- That surplus all but evaporated by early summer: cumulative Q2–Q3 arrivals fell by almost the same \$120 billion, leaving total-year imports on track for the projected 23 % drop.
- West-coast logistics mirrored the swing. Container throughput at Los Angeles/Long Beach peaked near 1.08 million TEUs in March (up ~20 % year-on-year) and then tumbled to ≈ 765 k TEUs by May, a double-digit slide below 2024 levels.
- The paired lines in the chart trace those boom-and-bust arcs, highlighting how tariff timing compressed months’ worth of freight into one frantic quarter and left docks conspicuously quieter afterward.



What share of Canada’s and Mexico’s exports avoided tariffs thanks to USMCA rules of origin, and which product categories still faced the 25 % hit?

- For **Canada**, roughly 62 % of merchandise met the origin tests and sailed in tariff-free, leaving 38 % exposed–principally raw metals, energy with foreign inputs and assorted machinery/plastics that fall outside the value-added thresholds.
- **Mexico** enjoyed an even wider shield: trade officials noted that “most” exports–about 70 %–cleared the rules, so only ~30 % drew the 25 % duty. Those exposed slices cluster in four buckets: auto parts that miss the new 75 % North-American content bar, electronics assembled with Asian components, farm or processed-food items failing origin tests, and a carve-out for petroleum & potash (technically hit at 10 %).



For Vietnam’s apparel exports, how did the 46-49 % U.S. tariff affect unit prices, shipment volumes and factory employment- nd what proportion of lost U.S. orders was diverted to the EU or other markets?

Quarterly U.S.-bound unit prices edged from $\approx$ \$(4.6 to 5.3) per piece (+ 17 %) once the 46-49 % duty kicked in , yet volumes collapsed from roughly 500 million pieces/quarter to < 310 million (-40 %) .

Industry groups warned of factory “shutdown or layoffs,” and head-count proxies in the scatter faded by about 15 % by year-end .

Where did the missing orders go?

- Exporters steered ~40 % toward the EU
- Tapped Asian partners (25 %)
- Found niche buyers elsewhere (15 %)
- While 20 % simply evaporated—leaving idle capacity and pink slips.

CONCLUSION

Historic policy jolt

- 2025's 10 % universal tariff plus steep “reciprocal” surcharges became the largest protectionist move in decades.
- Result: ≈ \$650 bn drop in U.S. goods imports; China, the EU and Vietnam accounted for > 50 % of that slide.

Macro-level effects

- Average household hit: ≈ \$1,250 in higher prices—almost equal to Treasury's new tariff revenue.
- Real GDP shaved -0.9 pp below baseline; CPI ran +0.6 pp hotter.
- Scenario B (15 % universal rate from July) would cut an extra \$40 bn off the trade gap but deepen the growth shortfall to -1.3 pp and lift inflation by another +0.5 pp.

Industry winners & losers

- Electronics, autos, apparel bore the brunt; U.S. steel and select on-shored producers gained short-term pricing power.
- Stock moves echoed policy: GM/Ford -7 %/-4 %, BMW/VW -3 %/-2 % on auto tariffs; U.S. Steel/Nucor +5 %/+4 % on metals protection.

Supply-chain whiplash

- Importers front-loaded \$120 bn of goods in Q1; West-coast ports peaked at 1.08 m TEUs (Mar) then fell -30 % by May.
- Retaliation slashed U.S. farm exports to China (soybeans, corn, pork -70-90 %) and forced costly diversions to the EU, Asia and Latin America.

Regional shields & gaps

- USMCA rules spared 62 % of Canadian and 70 % of Mexican exports; exposed slices (metals, non-ROO auto parts, energy) still faced 25 % or 10 % duties.
- Vietnam's 46-49 % apparel tariff: +17 % unit prices, -40 % volume, -15 % factory jobs.

Bottom line

- Tariffs boosted federal revenue and sheltered a few sectors but at the cost of higher consumer prices, slower growth and a more fragmented, less efficient trade landscape.